LONG SUMCO (TSE:3436) | Target Price: $23.09 (¥3,621) | Upside: 76% | 12M Horizon

Recommendation: We recommend long SUMCO at $13.10 (¥2,053). The stock has already risen 57% in a year, yet it still trades on trough economics: FY25 revenue of ¥410B carried a 27% EBITDA margin against 38% in FY22, an operating loss of ¥1.6B and a net loss of ¥11.8B, because depreciation from the 2023 to 2024 capex cycle (¥504B over two years) landed before the volume did. The Street models SUMCO as a pure cyclical and waits for utilization. We think three things the market is not pricing arrive together in 2026 to 2027: HBM-driven 300mm volume, the roll-off of 2021 to 2022 long-term agreements into a tighter market, and depreciation peaking in 2026. Our Base DCF gives ¥3,621 ($23.09, +76%); Bear $7.84 (−40%) and Bull $43.50. We say up front what a reader will push on: the WACC is 7.2%, terminal value is 86% of enterprise value, and the Base needs EBITDA margin to climb from 27% to 35% by FY29. The case rests on margin recovery, and the exit test is tied to it.

Business Overview: SUMCO is the world's second-largest maker of silicon wafers, the polished discs on which every semiconductor is built, with about 27% of the 300mm market. It sells polished, annealed, epitaxial and SOI wafers up to 300mm, plus wafer processing and recycled by-products, from seven plants in Japan and ten overseas. Revenue is 300mm and 200mm wafers (about 85%), processing services (about 10%) and by-products (about 5%), sold to TSMC, Intel and all three HBM producers (SK Hynix, Samsung, Micron) under multi-year take-or-pay agreements in which customers prepay part of the capacity. Revenue by region in FY25: Taiwan 37%, U.S. 19%, South Korea 13%, Europe 12%, China 10%, Japan 9%. The business is capital-heavy: FY23 and FY24 capex were 60% of revenue to build the Yoshiwara and Imari 300mm fabs for AI and HBM demand, which is why depreciation rose from ¥60B in FY22 to ¥116B in FY25 and turned a 27%-margin business loss-making at the operating line.

Price (at pitch)	Market cap / EV	Net debt / minorities	LTM revenue, EBITDA	EBITDA margin	EV/EBITDA LTM / FY26E	Consensus FY26E rev.
$13.10 (¥2,053)	¥718B / ¥1,066B ($4.6B / $6.8B)	¥278B / ¥69B	¥410B, ¥112B	27.4% (FY22: 38%)	9.5x / 9.2x	¥430 to 440B

Industry Overview: Silicon wafers are a ¥1.7 to 2T ($12 to 13B) oligopoly: Shin-Etsu, SUMCO and GlobalWafers hold about 64% of supply, no meaningful entrant has appeared in 20 years, and a greenfield 300mm fab costs $3 to 5B plus five to seven years of customer qualification. Demand is measured in million square inches and follows chip units with a lag; utilization troughed near 69% in 2025 after customers ran down wafer inventory built in 2022, and recovers through 2027 to 2028 as that inventory clears. Two structural shifts sit on top of the cycle. First, mix: logic and HBM wafers, the highest-ASP products, rise from about 35% of demand in 2023 to 55%+ by 2028, displacing commodity 200mm wafers. Second, wafer intensity: HBM stacks 8 to 16 DRAM dies plus a logic die per module and consumes three to four times the silicon per gigabyte of DDR5, so HBM should take 25%+ of DRAM wafer capacity by 2026 from about 10% in 2023. Supply is disciplined: SUMCO and Shin-Etsu both cut capex in 2023 to 2024, so incremental 300mm capacity is limited through 2026. Chinese entrants (NSIG, Zhonghuan) compete only in mature-node wafers, and export controls on advanced tools widen the gap; roughly 85% of SUMCO's book is leading-edge or HBM-grade wafers outside their reach.

Thesis 1: HBM creates a structurally new layer of 300mm demand, and SUMCO supplies all three producers. HBM bit production grew about 150% in 2024 and 70%+ is forecast for 2025 to 2026 as HBM4 moves to 12-high and 16-high stacks. Because each gigabyte of HBM needs three to four times the wafer area of DDR5, HBM wafer demand compounds at 70%+ a year through 2028 against about 13% for the wafer market overall. SUMCO already ships qualified 300mm wafers to SK Hynix, Samsung and Micron, the only three HBM producers, and holds about 27% of leading-edge 300mm supply. Our Base grows 300mm monthly volume 5% in FY26 and 6% a year after, from 7,725k to 9,569k wafers a month by FY29, with the mix shifting toward premium-ASP HBM and logic wafers. 200mm volume keeps falling 1 to 2% a year; that decline is in every case.

Thesis 2: The 2021 to 2022 long-term agreements roll off into a tighter market. SUMCO's current take-or-pay contracts were signed at cycle-peak pricing, which is why 300mm ASPs held near $14 through the 2023 to 2024 destocking while volumes fell 11%. Those contracts roll off around 2027, when HBM and leading-edge demand is accelerating and supply is still constrained, so new agreements should be struck at higher prices and longer durations. We model only 2% a year of 300mm ASP growth, from $13.91 in FY25 to $15.06 in FY29, and let operating leverage do the rest: as volume absorbs the fixed cost and depreciation of the new fabs and depreciation itself peaks in 2026, EBITDA margin rises from 27% in FY26 to 30% in FY27 and 35% by FY29, still below FY22's 38%. That adds about ¥80B of EBITDA by FY29 against the FY25 trough. Agreements that floor volumes and are prepaid by customers also argue for a higher through-cycle multiple than the 6 to 7x the wafer makers carried before 2022.

Thesis 3: Japanese industrial policy funds SUMCO's customers; the China threat is real but bounded. Japan has committed ¥3.9T+ to semiconductor supply chains since 2022, including TSMC's JASM fabs in Kumamoto (¥1,200B), Rapidus's 2nm fab in Hokkaido (¥920B) and Micron Hiroshima (¥465B). Every new fab on Japanese soil is qualified wafer demand, and SUMCO and Shin-Etsu are the incumbents for each program. China is the largest spender on wafer-fab equipment (about $49B in 2025) but concentrates on 28nm and older nodes, where SUMCO's exposure is smallest; its mature-node ASPs face marginal pressure while the leading-edge and HBM book, about 85% of revenue, needs flatness, epi quality and qualification standards Chinese suppliers cannot yet meet.

Valuation: Our four-year unlevered DCF (FY26 to FY29, mid-year convention) grows revenue from ¥410B to ¥517B (6% CAGR), EBITDA from ¥112B to ¥179B and unlevered free cash flow from ¥45B to ¥81B, with capex falling from 27% of revenue in FY25 to 18% in FY26 and 15% after. It uses a 7.2% WACC and 2.5% terminal growth (an exit-multiple cross-check at about 10x gives a near-identical terminal value) and deducts ¥278B of net debt and ¥69B of minority interest. The result is ¥3,621 a share, $23.09 at ¥157 per dollar. The weak points, stated plainly: terminal value is 86% of enterprise value; at an 8.0% WACC and 2.0% growth the value is $16.16, and at 8.5% and 1.5% it is $13.07, roughly today's price; and the Base requires a 35% margin that SUMCO last earned in FY22. Trading comps (Shin-Etsu, GlobalWafers, Siltronic) give $13.50 to $28.50 and precedent transactions $18 to $26, both bracketing the target; the 52-week range is $4.50 to $14.20.

Scenario	300mm vol.	300mm ASP	FY29 margin	WACC / g	Value
Bull: HBM ramp accelerates, 300mm volume +8 to 10%, tight supply lifts ASP	+8 to 10%	+3.5%	37%	6.5% / 3.0%	$43.50
Base: gradual recovery led by AI servers, LTA re-pricing, depreciation peaks 2026	+5 to 6%	+2.0%	35%	7.2% / 2.5%	$23.09
Bear: recovery slower, 200mm share lost faster, legacy capex weighs on FCF	+2 to 3%	0%	28%	8.5% / 1.5%	$7.84

Event Path & Catalysts: (1) Quarterly results through 2026: 300mm volume and utilization above 80%, the first evidence of the HBM pull; (2) FY26 guidance and the depreciation peak, which turns operating income positive from FY27 on our numbers; (3) 2027 LTA renewals at higher ASPs and longer terms; (4) Japanese fab milestones (JASM second fab, Rapidus pilot line) that convert subsidies into qualified wafer orders.

Key Risks & Mitigants: *Slower demand recovery* (300mm utilization stalls below 80%, ASP recovery slips past FY27): take-or-pay agreements floor volumes, HBM bit production is already growing 70%+, and the Bear case prices a slow recovery at $7.84. *Customer concentration* (top five customers are about 70% of revenue): SUMCO supplies all three HBM producers and the leading foundries, and 12 to 18 month qualification cycles make switching costly for them too. *HBM oversupply* (memory capacity additions outrun demand and a memory correction hits the ramp): HBM4's 12-high stack raises wafer intensity per gigabyte, and the agreements lock minimum volumes through 2027. *Chinese competition* (NSIG or Zhonghuan close the qualification gap, or export controls soften): about 85% of revenue sits in leading-edge and HBM wafers outside their current reach, and the 200mm decline is already in every case. *Our own numbers*: a 7.2% WACC is generous for a Japanese cyclical with ¥278B of net debt; at 8.5% the Base falls to about $16.

Sources: SUMCO annual report and IR presentations; Shin-Etsu annual report; S&P Capital IQ (financial statements); SEMI World Fab Forecast; Omdia; TrendForce; Counterpoint; METI announcements; BIS export-control documentation; Bloomberg consensus; our DCF model (SUMCO_DCF.xlsx).